

M-PAiSA PAYMENTS GATEWAY SERVICES AGREEMENT

BACKGROUND

This M-PAiSA Payments Gateway Services Agreement defines the terms and conditions under which **Digital Financial Services Pte Limited ("DFS")** will provide **M-PAiSA Merchant Services**, via the delivery channels stated, to the Merchant, whose identity is defined below.

KEY TERMS

The Parties

	DFS	Merchant
Name	Digital Financial Services Pte Limited	<u>Transxact Pte Limited</u>
Address for Notices	168 Princes Road, Tamavua, Suva, Fiji	
Email	info.mpaisha@vodafone.com.fj	

M-PAiSA Delivery Channel(s)	M-PAiSA Payments Gateway
Effective Date	Means the later of the date of signing of this Agreement by either party
Initial Term	3 (Three) Years
Service Fees	3% of value of M-PAiSA transaction Subject to clauses 3.3 and 7.6.
IMPORTANT: - This Agreement is made up of the Key Terms, General Terms & Conditions and any schedule or annexure. All capitalised terms in this Agreement have the meaning set out next to the relevant term in the Key Terms or General Terms & Conditions. - By signing this Agreement, the Merchant acknowledges having carefully read and understood, and agrees to be bound by, the terms of this Agreement. By signing this Agreement, the signatory(s) warrant that they have full requisite authority to sign on behalf of the relevant Merchant entity.	

GENERAL TERMS & CONDITIONS

1. DEFINITIONS AND INTERPRETATIONS

(1) Definitions

Agreement	means this M-PAiSA Payments Gateway Services Agreement which consists of the Key Terms, the General Terms & Conditions and any schedule(s) or annexure(s) to those documents
Business Day	means a day other than Saturday or Sunday or a gazetted public holiday
Confidential Information	shall mean all information conveyed by one party ("Disclosing Party") to another party ("Recipient") which is identified by the Disclosing Party as confidential or which, because of the nature of the information or the circumstances of its disclosure, would reasonably be considered to be confidential by the Disclosing Party, including: (a) information relating to competitive and financial information concerning the Disclosing Party and its business; but does not include any information which: (b) at the time of the first disclosure to or observation by the Recipient, was already in the lawful possession of the Recipient; (c) becomes available to the Recipient from a third person legally entitled to possess the information and provide it to the Recipient; or (d) is in, or comes into the public domain otherwise than by disclosure in breach of this Agreement. Confidential information will not be regarded as being in the public domain by reason only of the fact that some portion of the confidential information is public
DFS	means Digital Financial Services Pte Limited
DFS Intellectual Property	means all intellectual property which is owned by DFS or which DFS is entitled to use, which relates to or is used in connection with M-PAiSA Merchant Services, including the M-PAiSA Marks and any patents, trademarks, copyright (including copyright in any material which contains information concerning subscribers), designs, business names or trade secrets wherever subsisting in the world
E Value	means the electronic value recorded in a M-PAiSA Customer's account, such electronic value representing the customer's

	entitlement to the cash amounts held by DFS on trust for the customer
Effective Date	has the meaning to that term given in the Key Terms
Extension Term	has the meaning to that term given in clause 3.2
Force Majeure Event	means war, whether declared or not, civil rebellion, strike, fire, storm or other severe action of the elements, unavoidable accident, health pandemic, government or statutory restriction or from any other similar causes which are unavoidable or beyond the reasonable control of a party
M-PAiSA App	refers to the mobile based app for use by M-PAiSA Customers
M-PAiSA Customer	means every person being a customer of the M-PAiSA Services
M-PAiSA Marks	means any trade-marks, other marks or names utilised by DFS in the distribution of M-PAiSA Services
M-PAiSA Payments Gateway	refers to the M-PAiSA payment service enabled on the Merchant App, website or social media following the specifications in the Schedule
M-PAiSA, Payments Services, M-PAiSA Merchant Services and M-PAiSA transactions	refers to the "Smart Wallet" mobile based solution - the payment services enabled by DFS and accessible via the M-PAiSA Delivery Channel by M-PAiSA Customers
Merchant	is identified in the Key Terms
Merchant App	means the Merchant's mobile based application through which it may offer Merchant Goods and Services for purchase
Merchant Customers	refers to individuals who are customers of the Merchant and registered as M-PAiSA Customers with DFS
Merchant Goods and Services	refers to the Merchant's goods and or services made available for purchase by the Merchant Customers using the M-PAiSA Payments Gateway Services
Merchant Portal	means the web-based DFS Merchant portal made accessible by DFS to the Merchant
Merchant Website	the Merchant's website(s) through which the Merchant may offer Merchant Goods and Services for purchase
SMS	means short message service
System Specifications	included in the Schedule
Term	has the meaning given to that term in clause 3.1

VAT means Value Added Tax under the Value Added Tax Act 1991

(2) Interpretation

For the purposes of this Agreement:

- (a) All transactions to which references are made in this Agreement are M-PAiSA transactions.
- (b) The singular includes the plural and vice versa.

2. M-PAiSA PAYMENTS GATEWAY SERVICES

- 2.1 Subject to the Merchant's continued compliance with this Agreement, DFS will provide the M-PAiSA Payments Gateway Services in accordance with the terms of this Agreement via the M-PAiSA Delivery Channel.
- 2.2 The Merchant authorizes DFS to collect payments from Merchant Customers by M-PAiSA and to remit the same to Merchant on the terms of this Agreement.
- 2.3 DFS shall be entitled to describe itself as Merchant's authorised agent for collection of payments by way of M-PAiSA.
- 2.4 The Parties shall not make any representations, warranties or guarantees with reference to the M-PAiSA Payments Gateway Services as made available to the Merchant except as authorized under this Agreement.
- 2.5 Access to the M-PAiSA Delivery Channel by the Merchant is subject to DFS's discretion. DFS reserves the right to modify or alter the Delivery Channel where necessary due to operational, regulatory, statutory, or legal requirements. In such cases, DFS will notify the Merchant as soon as reasonably practicable.

3. TERM

- 3.1 This Agreement commences on the Effective Date and continues for the Initial Term unless terminated earlier in accordance with this Agreement or extended for an Extension Term ("**Term**").
- 3.2 Thereafter, this Agreement will automatically extend for subsequent periods of 12 (twelve) months (each an "**Extension Term**") unless a party gives notice at least 2 (two) months prior to expiry of the then current term that it does not intend to further extend the Agreement at the expiry of which notice period the Term shall terminate.
- 3.3 Each Extension Term will be subject to the same terms and conditions set out in this Agreement, unless otherwise agreed in writing by the parties. Notwithstanding the foregoing, the Service Fee applicable to each Extension Term shall be determined solely by DFS and communicated to the Merchant in advance. If the Merchant does not agree to the Service Fee proposed by DFS, it may elect to terminate this Agreement by providing

written notice to DFS prior to the commencement of the relevant Extension Term.

4. THE MERCHANT'S RESPONSIBILITIES

4.1 The Merchant undertakes to DFS:

- (a) to honour payments from Merchant's Customers received by way of M-PAiSA Payments Gateway Services;
- (b) to advise all its customers that payments due to the Merchant whether for Merchant Goods or Services or other forms of legitimate payments may be done by way of M-PAiSA provided however the payers must be registered as M-PAiSA Customers and such payments are in accordance with the conditions contained in this Agreement;
- (c) to exercise all reasonable care and skill in the performance of its obligations under this Agreement and to comply with all relevant laws and regulations in the conduct of its business;
- (d) to use its best endeavors to maintain the reputation and prestige of DFS, and the M-PAiSA Payments Gateway Services;
- (e) to employ such qualified staff as is necessary in order to assist its customers with M-PAiSA payments and to properly market and promote the utilization of M-PAiSA Payments Gateway Services;
- (f) to notify DFS immediately of any malfunction or discrepancy in Merchant's record keeping system;
- (g) to execute any directions and authorities DFS requires (and reasonably possible for Merchant to so execute) to give effect to any of Merchant's obligations under this Agreement provided however that Merchant shall not arbitrarily refuse to execute any such directions and authorities without providing reason;
- (h) to not use any advertising or promotional material at any time relating to the M-PAiSA Payments Gateway Services except as authorised by DFS;
- (i) to protect access to M-PAiSA Customers' information on its networks or to the M-PAiSA Payments Gateway Services, by password and restrict use of the password to the Merchant's staff authorised to use the password only;
- (j) to ensure that any third party accessing the M-PAiSA Payments Gateway Services through the Merchant's facilities is bound by the terms of this Agreement;
- (k) to adhere to all applicable data privacy and security laws and regulations;
- (l) to retain in the Merchant's possession records relating to each M-PAiSA transaction for at least 7 (seven) years after the transaction or request for transaction as required by law;

Commented [ES1]: Needs to be reworded for clarity...whose facilities?

Commented [ES2R1]: In which country?

Commented [PM3R1]: "its facilities" refers to the Merchant's facilities as the undertaking is given by the Merchant.

Commented [PM4]: This is not jurisdictionally limited.

Commented [ES5]: Why this requirement when the Merchant should have its own records? Can understand if organisation was regulator (RBF or FRCS) but not a bank. Quote reference to specific lay implied here.

Commented [PM6R5]: Financial Transactions Reporting Act 2004 and National Payment System Act 2021.

- (m) to display prominently, M-PAiSA logo and other “point of sale” signs and marketing collateral provided by DFS or stipulated from time to time on or about the Merchant’s trading premises, Merchant Website/social media page(s) or the Merchant App for advertising M-PAiSA Services as available modes of payment;
- (n) to not reproduce, translate, modify, vary, edit, consolidate, adapt, decompile, reverse-engineer or attempt to derive the source code of, all or any part of the M-PAiSA Payments Gateway, or any other M-PAiSA intellectual property, or any other software or systems used to provide the M-PAiSA Merchant Services (or cause or permit any person to do so).
- (o) to make available except for reasons beyond its control the M-PAiSA Payments Gateway Services as a means of payment for Merchant Customers during the entire duration of its operating hours, as applicable;
- (p) to be responsible for the content, quality and delivery of the Merchant Goods and Services; and
- (q) to not deny or refuse any M-PAiSA Customer the right to make payment via M-PAiSA if such payment option is chosen.

4.2 The Merchant must on DFS’s written request disclose to DFS (or to persons authorised by DFS) records kept by the Merchant to allow inspection and verification that the Merchant is complying with its obligations under this Agreement.

4.3 The Merchant must maintain all necessary registrations and approvals by all regulatory authorities required by law in the Republic of Fiji for conduct of its business.

4.4 In the absence of fraud on the part of DFS, the Merchant undertakes to indemnify DFS for any claim which may arise as a result of improper or unauthorised use of the M-PAiSA Services by the Merchant, its employees, agents or persons within its control. Such indemnity shall include but not be limited to losses due to discrepancies in M-PAiSA Customer’s E Value.

5. M-PAiSA CUSTOMER REGISTRATION, SYSTEM SPECIFICATIONS AND MERCHANT PORTAL

5.1 Customer Registration

5.1.1 The Merchant acknowledges and agrees that the M-PAiSA Payments Gateway Services may be available to some of its customers being those who have successfully registered for M-PAiSA Services with DFS or DFS’s agents.

5.1.2 DFS reserves the right to decline an application by an individual for registration for M-PAiSA Services if it is not satisfied with proof of identification and age provided by said individual or unless he or she has acknowledged and displayed utmost comprehensiveness and understanding of the M-PAiSA conditions of use.

5.2 System Specifications

Commented [ES7]: Provided there is sufficient balance in their MPAiSA account

Commented [PM8R7]: Transaction will be automatically denied on try in such circumstance.

Commented [ES9]: Again, is this in line with banking practices here in Fiji? This is clearly overreach as no other bank expects to check our records like this

Commented [PM10R9]: Financial Transactions Reporting Act and National Payment System Act with its policy guidelines are relevant.

Commented [ES11]: What about the converse? If fraud occurs within DFS, how are we indemnified?

Commented [PM12R11]: The Merchant will note that under clause 4.4, it is not required to indemnify DFS in the event of a claim arising due to fraud on the part of DFS: “*In the absence of fraud on the part of DFS...*”.

The M-PAiSA Services which are made available for the Merchant’s transactions will be under the complete control of the Merchant and its utilisation will be by the Merchant at its own discretion. DFS will have no visibility or oversight as to the manner of conduct of transactions by Merchant using the M-PAiSA Services, therefore, it is reasonable and appropriate that the Merchant indemnify DFS for any claims or liabilities arising from the Merchant’s use of the M-PAiSA Services.

5.2.1 M-PAiSA Payments Gateway Services shall be supplied by DFS in accordance with the System Specifications.

5.2.2 DFS may amend and replace the System Specifications from time to time and will inform the Merchant of such amendment prior to making any such amendments.

5.3 Merchant Portal

5.3.1 DFS will grant the Merchant secure login to access the Merchant Portal, through which the Merchant will be able to view all M-PAiSA transactions, Service Fees deducted and remittances to the Merchant on real time basis.

Commented [ES13]: Our preference is to handle these checks electronically rather than manually/visually. Hope a more efficient solution is made available soon for our systems to verify transactions electronically

5.4 Transactions

5.4.1 Currently there is no transaction limit on customer to business payments via M-PAiSA. However, there is a limit of \$10,000 (Ten Thousand Dollars) on E-Value which may be stored in Customer's M-PAiSA account. These limits may be revised at DFS's discretion or the regulatory authority from time to time.

Commented [PM14R13]: As this is an MPG solution, it will be integrated with the Merchant's system. Merchant should be able to extract the required information directly from its end. For reconciliation, the Merchant will need to log-in to the Merchant portal.

5.4.2 The Merchant shall not charge the Merchant Customers additional fees for M-PAiSA Services. In this regard, the amount transferred by the Merchant Customer shall be exactly equivalent to the price(s) of Merchant Goods and Services being sold to the Merchant Customer and for which payment is due by the Merchant Customer to the Merchant.

5.4.3 DFS shall generate and send a SMS to the Merchant Customer on the successful completion of a M-PAiSA transaction which shall be deemed to be confirmation of payment by the Merchant Customer from his or her E Value entitlement to the Merchant.

5.4.4 The Merchant must not impose a minimum transaction amount, in relation to the Merchant Customer's use of the M-PAiSA Payments Gateway Services.

Commented [ES15]: We reserve the right to charge customers for a minimum service fee for transactions which they cancel after ordering/booking our services

5.5 Prevention of Money Laundering and the Financing of Terrorism

5.5.1 The transfer of funds through the M-PAiSA Payments Gateway Services which is or which forms part of the proceeds of any crime or which is intended to facilitate, aid or finance the commission of any crime is expressly prohibited.

Commented [PM16R15]: Merchant's right to charge customers a minimum service fee for cancelled transactions is entirely separate from the requirement that customers should not be compelled to spend a minimum amount in order to access or use the M-PAiSA service for payment. The service fee applies only in the event of a cancellation after an order or booking has been made, whereas the "no minimum spend" requirement ensures that customers may freely use the M-PAiSA payment gateway regardless of the transaction value.

5.5.2 The Merchant must take all reasonable precautions to prevent unauthorized transactions and fraudulent activity in its utilization of the M-PAiSA Payments Gateway Services including but not limited to restricting the conduct of such transactions.

5.5.3 The Merchant must promptly report any suspicious activity relating to the use of the M-PAiSA Payments Gateway Services to DFS customer care and the Fijian Financial Intelligence Unit ~~relevant regulatory authority~~.

Commented [ES17]: Request specific contacts for these. Add in addendum

5.5.4 The Merchant acknowledges that DFS may be obliged to monitor and report any suspicious activity by the Merchant and or the Merchant Customers to the relevant regulatory authority.

5.5.5 Notwithstanding anything to the contrary contained in this Agreement, DFS shall be entitled to forthwith terminate this Agreement in the event that DFS reasonably and in good faith determines that the Merchant has breached any of its obligations contained in this clause.

5.6 System Support

5.6.1 In the event of any issue arising directly from the M-PAiSA system including system errors or outages, DFS will provide timely and reasonable support to investigate, rectify, and mitigate the issue.

6. M-PAiSA PAYMENTS GATEWAY

The Merchant acknowledges that payment by M-PAiSA Payments Gateway will be available to those M-PAiSA Customers who have downloaded the M-PAiSA App, are utilising a smart phone with the M-PAiSA App and have internet access at the point of payment in order to process payment.

7. SERVICE FEES

7.1 The service fee for supply of the M-PAiSA Payments Gateway Services will be as specified in the Key Terms or as otherwise varied and set by DFS under clauses 3.3 and/or 7.7 ("Service Fees").

7.2 Subject to clause 7.3, DFS shall, on each Business Day, remit to the Merchant the total value of all Transactions, less the applicable Services Fees to which DFS is entitled. If remittance cannot be made on a Business Day, it shall occur on the next Business Day, into the bank account designated by the Merchant in writing.

7.3 DFS may deduct and set-off any Service Fees owed by the Merchant from amounts otherwise payable to the Merchant by DFS, including proceeds from M-PAiSA transactions. This right of set-off is in addition to, and does not limit, any other remedies available to DFS.

7.4 Reconciliation statement with details of Service Fees charged to the Merchant and deducted from transaction fees on a monthly basis will be relayed to the Merchant at the end of each calendar month.

7.5 The Merchant acknowledges that M-PAiSA Services are exempt supplies under the Value Added Tax Act. Accordingly, the Merchant cannot claim any VAT incurred for payment of Service Fees under this Agreement as VAT input.

7.6 DFS reserves the right to adjust any fees, including the Service Fee, under this Agreement. Any such variation will be communicated to the Merchant in writing at least 30 (thirty) days before the effective date of the revised fee.

8. TRAINING

8.1 DFS will provide the Merchant with such training, samples, catalogues, brochures and information concerning the M-PAiSA Payments Gateway Services as DFS considers reasonably appropriate in order to assist the Merchant in utilising the M-PAiSA Payments Gateway Services.

Commented [ES18]: This should not be done unilaterally as we need to be given the opportunity to provide responses to any allegations as required by natural justice. Furthermore, if an MPAISA customer who happens to use our service is found to be responsible for questionable/illegal acts, who really is responsible and why should us, as the merchant be penalised? Its MPAisa's customer in the first place and we are using MPAisa network of customers. Hence, the responsibility for conducting and monitoring/due diligence for such customers rests with Mpaisa, not the merchant

Commented [PM19R18]: As a financial institution, DFS is subject to stringent requirements to prevent money laundering. Where DFS determines in good faith that the Merchant has breached any of its obligations under the clause 5.5, it is incumbent on DFS to terminate the Agreement. Continued affiliation with the Merchant in such circumstances may render the M-PAiSA system susceptible to money-laundering and/or financing of terrorism allegations.

Commented [ES20]: We will be building our own app and mpaisha is one of the payment options within available within that app. Our app should still be able to work with the Mpaisha gateway if the customer selects that payment option. This clause should not restrict access to the Mpaisha gateway to only the Mpaisha app

Commented [PM21R20]: M-PAiSA Gateway Payments are available on the Merchant App (see 'Definitions and Interpretations').

Merchant App is not restricted by this clause in any way.

Commented [ES22]: Will we get a notification from DFS about such remittances so we know when to check?

Commented [PM23R22]: Yes, the Merchant will receive a remittance advise once payment is processed to the email address provided by it in the application form.

Commented [ES24]: If DFS is compliant with clause 7.2, how would such un-offsetted fees arise? This is a redundant clause as 7.2 takes care of deductions by DFS

Commented [PM25R24]: Clause 7.3 expressly provides for the "right of set-off" to cover and bind clause 7.2.

Commented [ES26]: This is unreasonable and there is no technical reason why this delay should occur. It needs to be done daily at the point of deductions so we can do back recs properly daily and not have to await till month end.

Commented [PM27R26]: The report will provide a summary for month-end reconciliation. Merchants will have access to the portal to reconcile transactions in real time. The portal will display the customer payment amount, fees deducted, and the net amount credited. The report can also be downloaded directly by the Merchant anytime.

- 8.2 The Merchant must make its employees available to attend any training provided by DFS and remain responsible for all salaries and other employment costs of, and all travelling, accommodation and other expenses incurred by such employees in attending any training.

9. WARRANTIES & INDEMNITY

9.1 Warranties

- (a) Both parties represent and warrant that the execution and performance of this Agreement and each transaction contemplated under this Agreement does not and will not violate in any respect a provision of any other document or agreement (including if relevant, its articles of association) which is binding on it or its assets.
- (b) Both parties warrant that each has all required licences and rights to perform and fulfil its obligations under this Agreement.

9.2 Indemnity

Both parties will indemnify the other including their respective affiliates, officers, employees, and agents (each an “**Indemnified Party**”) against any claim which may be made or brought against an Indemnified Party, or which an Indemnified Party may sustain or incur, arising from or in connection with:

- (a) any matter or thing being other than as represented or warranted by a party under clause 9.1;
- (b) any breach by a party of the terms of this Agreement;
- (c) any breach of an existing law by a party; or
- (d) any negligence by a party (or its employees or agents) in the performance of a party's obligations under this Agreement.

9.3 Merchant's Indemnity

The Merchant will indemnify DFS including its respective affiliates, officers, employees, and agents from and against any claim, proceeding, damages, loss, liability, cost and expenses (including reasonable legal costs) suffered or incurred in connection with any transaction, chargebacks and unauthorised access or disclosure of information or any Merchant Customer claim or dispute.

10. LIMITATION OF LIABILITY, EXCLUSION OF WARRANTIES

10.1 Exclusion of warranties and liability

- (a) To the full extent permitted by law and other than as expressly set out in this Agreement, DFS excludes all implied and express terms, conditions and warranties.
- (b) The Merchant acknowledges that DFS makes no warranties and representations, including warranties and representations concerning the M-PAiSA Merchant Services, other than as set out in this Agreement. The Merchant has not relied on any warranties or representations, other than those

Commented [ES28]: This clause presumes that DFS and its officers can in no way be responsible for claims that may surface through a merchant like us from a customer. This fundamental assumption is flawed as issues can be caused by any party involved. The right way to structure this is to say that if the cause of such a claim is proven to be the doing of the merchant, then this type of indemnity is reasonable. Otherwise, if the cause is found to be in DFS, then DFS cannot be indemnified.

Commented [PM29R28]: DFS as the payment service provider cannot be held responsible for any Merchant customer disputes or transactions conducted by the Merchant utilising the M-PAiSA Services. The M-PAiSA Services are provided solely as a payment mechanism, analogous to a bank payment option, and DFS bears no responsibility for the Merchant's business operations or transactional conduct or any issues between Merchant and its customers.

expressly contained in this Agreement, in making its decision to enter into this Agreement.

- (c) Notwithstanding any other provision to the contrary, but to the full extent permitted by law, DFS will not be liable to the Merchant and excludes all liability arising on the part of DFS or its directors, related bodies corporate, officers, employees or agents in connection with the provision of the M-PAiSA Merchant Services under this Agreement or, for any loss, damage, liability or expense whether direct, indirect, special or consequential, (including without limitation loss of profits or goodwill) caused by or arising out of or in any way from the failure of the M-PAiSA service from operating at any time or in connection with the M-PAiSA Merchant Services generally.
- (d) The Merchant is liable for all issues arising in connection with any Merchant Customer including any liability arising as a result of the Merchant's breach of any term of the Agreement or any relevant law, regulation or policy; or from any Merchant Customer complaints or returns of Goods or Services.

10.2 Binding Obligations

The liabilities and obligations created by this Agreement shall continue to be valid and binding for all purposes whatsoever notwithstanding any change by amalgamation, reconstruction or otherwise which may be made in the constitution of DFS and the Merchant and it is hereby expressly declared that no change of any sort whatsoever in relation to or affecting DFS and the Merchant shall in any way affect the liabilities and obligations created hereunder in relation to any transaction whatsoever whether past, present or future.

11. INTELLECTUAL PROPERTY

11.1 Right to use

- (a) DFS may grant to the Merchant the non-exclusive right, during the Term, to promote the M-PAiSA Merchant Services using the M-PAiSA Marks, subject to prior approval obtained from DFS and the Merchant complying with the conditions set by DFS from time to time.
- (b) At all times the Merchant must obtain DFS's written consent prior to use of the M-PAiSA Marks.

11.2 Acknowledgement concerning Goodwill

- (a) The Merchant has no rights in any M-PAiSA Mark or the M-PAiSA Merchant Services, or in any goodwill which is associated with the M-PAiSA Marks or the M-PAiSA Merchant Services. The Merchant acknowledges that it has no rights to any goodwill which may result from the Merchant's use of the M-PAiSA Marks or the M-PAiSA Merchant Services.
- (b) The Merchant acknowledges that DFS owns or is entitled to all of the DFS Intellectual Property and that the Merchant obtains no rights in the DFS Intellectual Property other than as expressly provided for in this Agreement.

Commented [ES30]: The tone of this agreement is very one-sided. DFS is infallible and exempt! merchant bears all responsibility even though issues may be created by MPAiSA (DFS's) customers in the first place. DFS needs to bear some responsibility if the course of issues encountered if found to occur from DFS's Mpaia customers and not the merchant processes or apps

Commented [PM31R30]: This provision is a standard industry practice designed to protect both parties in the context of digital financial services, where technical interruptions or external factors (such as network issues or third-party actions) can occasionally occur. It is not intended to make DFS "infallible" but rather to allocate risks appropriately in a high-volume, technology-dependent ecosystem like M-PAiSA.

To clarify: The clause excludes liability for losses arising from service failures or disruptions, but it does so "to the full extent permitted by law." This means it is subject to applicable Fijian laws and regulations.

Regarding your point about issues stemming from M-PAiSA customers (e.g., fraudulent transactions or disputes initiated by end-users): The services are provided to your customers who are also M-PAiSA customers but DFS will not have privity of contract in relation to your custom with your customers.

Commented [ES32]: This is not reasonable as the merchant's customer is MPAiSA's customer in the first place. The point of this clause needs to be worded appropriately for merchant actions only

Commented [PM33R32]: Merchant's customer, although an M-PAiSA Customer, will be entering into an agreement/arrangement for the provision of services with the Merchant itself. DFS is not privy to such agreement/arrangement between the Merchant and the customer, and is merely an agent for the collection of payments. Therefore, DFS excludes liability for Merchant's breach or any complaints or returns of the Merchant's Goods and Services.

11.3 No infringement

The Merchant must not do or omit to do (or authorise any third party to do or omit to do) any act which, if done or omitted to be done by the Merchant, would or might invalidate or be inconsistent with any of DFS's rights in and to the DFS Intellectual Property.

12. CONFIDENTIAL INFORMATION

12.1 Each party will, subject to clauses 12.3 and 12.4:

- (a) keep all Confidential Information secret and confidential, using reasonable skill and care, and in any event at least the same degree of care that they would normally use in protecting their own proprietary and confidential information of a similar nature;
- (b) not disclose or divulge any such information to any third party, except solely as necessary for the purposes of this Agreement, and then only provided that any such third parties are subject to a duty of confidence at least as strict as that contained at this clause;
- (c) not use or allow any such Confidential Information to be used, for any other purpose, in whole or in part, except solely in relation to the purpose, and for the duration of, this Agreement unless and only to the extent to which such further use has previously been specifically authorised in writing by the party to whom it relates;
- (d) not copy or have copies made of such Confidential Information, in whole or in part, other than as required solely for the purposes of this Agreement; and
- (e) at the other party's written request, either return to that party such of their Confidential Information as is in tangible form (together with all copies within their possession or control) or else destroy all copies of such Confidential Information.

12.2 If a party becomes aware of any disclosure concerning Confidential Information not permitted by this Agreement, it shall immediately inform the other party and they shall jointly seek to remedy the situation, without prejudice to any other rights the parties may have under this Agreement.

12.3 A party may disclose Confidential Information relating to the other party if necessary to comply with a law, provided that the disclosing party must first, to the extent it is able to do so, inform the other party and comply with their reasonable lawful instructions in relation to that disclosure.

12.4 A party may disclose Confidential Information to its professional advisers (including lawyers, auditors, and accountants) on a strictly need-to-know basis, provided that such advisers are bound by professional or contractual obligations of confidentiality no less stringent than those set out in this Agreement.

13. TERMINATION

13.1 Events of termination

A party may terminate this Agreement by giving notice with immediate effect upon receipt of the notice by the other party, if any of the following events occur:

- (a) Except for the purposes of a solvent reconstruction or amalgamation, an application is made, proceedings commenced, or a resolution is passed or proposed in a notice of meeting for the winding up, dissolution, official management or administration of the other party;
- (b) The other party breaches a provision of this Agreement and fails to remedy that breach within 30 (thirty) days from the date on which notice is received of that breach;
- (c) Any warranty given by the other party in clause 9.1 is or at any time during the Term proves to be incorrect; or
- (d) The other party engages in any conduct, which, in the opinion of the party giving notice may have a prejudicial effect on its business.

13.2 Termination on notice

Prior to the expiry of the Term, either party may terminate this Agreement at any time on 60 (sixty) days' notice in writing in advance to the other party of its intention to do so.

13.3 Termination

If a party suffers a Force Majeure Event and, fails to resume performance of all or a substantial part of that party's obligations under this Agreement within 30 (thirty) days of the date of giving notice to the other party the other party may, by notice in writing to the first party, terminate this Agreement immediately.

13.4 Rights and obligations on expiry or termination of Agreement

On termination or expiry of Agreement:

- (a) The Merchant will have a period of 30 (thirty) days, or such longer or shorter period as DFS advises ("**wind down period**"), before all rights granted by this Agreement, including any right to use the M-PAiSA Marks cease;
- (b) The obligations of the Merchant and DFS which have accrued but have not been discharged at the date of expiry or termination will not be affected;
- (c) All moneys owing by any party to the other party under this Agreement as at the date of termination will become immediately payable; and
- (d) Each party must within the wind down period return to the other party all documents in its possession, custody or power containing Confidential Information together with all copies of any Confidential Information. Each party must certify in writing to the other party that it has complied with this clause.

13.5 No right to compensation

The Merchant will have no right to compensation from DFS for moneys expended by the Merchant for advertising or any other activities with respect to the M-PAiSA Merchant services, nor any goodwill the Merchant may have established for the M-PAiSA Services or M-PAiSA Merchant Services. DFS will not be liable for any costs expended by the Merchant in establishing the M-PAiSA Payments Gateway Services as a mode of payment for Merchant Goods and Services or any other costs. This clause will survive expiry or termination of this Agreement.

14. NO AGENCY OR PARTNERSHIP

This Agreement does not constitute any party an agent of another or imply that the parties intend constituting a partnership or other form of association in which any party may be liable for the acts or omissions of the other. The parties are independent contractors, and no party has authority to pledge the credit of the other. The Merchant has no power to bind DFS other than as expressly authorised under this Agreement.

15. FORCE MAJEURE

15.1 Subject to this clause 15, a party will not be liable for any failure to perform an obligation under this Agreement while a Force Majeure Event subsists, if such failure is due to the occurrence of any Force Majeure Event provided that:

- (i) it promptly notifies the other party in writing of the nature and extent of the Force Majeure Event causing its failure or delay in performance;
- (ii) it could not have avoided the effect of the Force Majeure Event by taking precautions which, having regard to all the matters known to it before the Force Majeure Event, it ought reasonably to have taken, but did not; and
- (iii) it has used all reasonable endeavours to mitigate the effect of the Force Majeure Event, to carry out its obligations under the Agreement in any way that is reasonably practicable and to resume the performance of its obligations as soon as reasonably possible.

15.2 If the Force Majeure Event prevails for a continuous period of more than 3 (three) months, the Parties may at any time agree to terminate the Agreement on terms to be agreed by the Parties. Such termination shall be without prejudice to the rights of the Parties in respect of any breach of the Agreement occurring prior

15.3 No occurrence of a Force Majeure Event will excuse a party of its obligations to pay any amounts to the other party as and when they fall due.

16. ASSIGNMENT

Except as provided below, the rights and obligations of each party under this Agreement are personal and may not be assigned, charged, or otherwise dealt with without the prior written consent of the other party. Notwithstanding the foregoing, DFS may assign its rights and obligations under this Agreement by providing notice to the Merchant.

17. MISCELLANEOUS

- 17.1 **Time for performance:** If a provision of this Agreement requires that something be done on a day which is not a Business Day, that thing must be done on the next Business Day. If a provision of this Agreement specifies a time period by reference to a number of days, days which are not Business Days are included in calculating that time period.
- 17.2 **Further assurance:** Each party shall take all steps, execute all documents and do everything reasonably required by any other party to give effect to any of the transactions contemplated by this Agreement.
- 17.3 **Entire Agreement:** This Agreement including the schedules contains the entire agreement of the parties with respect to its subject matter. It sets out the only conduct relied on by the parties and supersedes all earlier conduct by the parties with respect to its subject matter.
- 17.4 **Amendment:** DFS may amend any provision in this Agreement, without the prior consent of the Merchant, if such change is required as a direct result of new legislation, changes to the M-PAiSA system, updates to System Specifications, upgrades or enhancements to system security features, Government regulations or licensing requirements, exchange rate fluctuations, industry developments, regulatory recommendations, or any other related reason. In such cases, DFS will endeavour to notify the Merchant of the changes as soon as reasonably practicable. Except for amendments made pursuant to DFS's rights as set out in this clause 17.4, clauses 2.5 and 7.6 or otherwise as expressly provided herein, no other amendment or variation to this Agreement shall be effective unless it is in writing and signed by all parties.
- 17.5 **Costs:** Each party will bear its own costs arising out of the preparation of this Agreement.
- 17.6 **Counterparts and electronic signing:** This Agreement may be executed in any number of counterparts, each of which when executed and delivered shall constitute an original of this Agreement, but all the counterparts shall together constitute the same Agreement. The counterparts of this Agreement may be executed and delivered by electronic means by any of the Parties to any other Party and the receiving party may rely on the receipt of such document so executed and delivered by electronic means as if the original had been received.
- 17.7 **No waiver:** No waiver of any breach, or failure to enforce any provision, of this Agreement at any time by a party in any way affects, limits or waives the right of such party thereafter to enforce and compel strict compliance with the provisions of this Agreement.
- 17.8 **Severability:** If any part of this Agreement is held (or deemed) to be invalid or unenforceable for any reason whatsoever, then that part is deemed deleted from this Agreement and the Agreement will otherwise remain in full force and effect.
- 17.9 **Governing Law:** This Agreement is to be interpreted in accordance with the laws of the Republic of Fiji.

18. DISPUTE RESOLUTION

The following procedure will apply if a dispute under this Agreement arises:

- (a) If a dispute arises the party claiming that a dispute has arisen will give notice to the other party indicating the nature of the dispute. Upon receipt of the notice, the parties must appoint at least one senior representative, who must, within 7 (seven) days from the date the receiving party received notice of the dispute, meet with each other, and attempt to resolve the dispute.
- (b) If the parties fail to resolve the dispute within 14 (fourteen) days from the date of meeting, the dispute will be referred to each of the parties' respective Chief Executive Officer or General Manager, or their respective nominee, who must then meet and attempt to resolve the dispute within 7 (seven) days.
- (c) If the parties fail to resolve the dispute within the further 7 (seven) day period, the parties must appoint an Independent Arbitrator to determine the dispute, or if the parties are unable to agree on an Arbitrator within 3 (three) Business Days, either party may request the President for the time being of the Fiji Law Society to nominate an Arbitrator to determine the dispute.
- (d) In determining the dispute, the parties must instruct the Arbitrator:
 - (i) to decide the dispute within the shortest practicable time and as informally and inexpensive as possible;
 - (ii) to consult with each of the parties and give each a reasonable opportunity to make submissions and to put any material before the Arbitrator which the party considers relevant; and
 - (iii) to deliver an Award stating its opinion with respect to the matters in dispute and the reasons for its decision.
- (e) The decision of the Arbitrator, in the absence of manifest error, will be conclusive and binding. Such reference shall be deemed to be an arbitration pursuant to the Arbitration Act of Fiji or any statutory modification of that Act.
- (f) The costs of the Arbitrator will be borne equally between the parties.

19. NOTICES

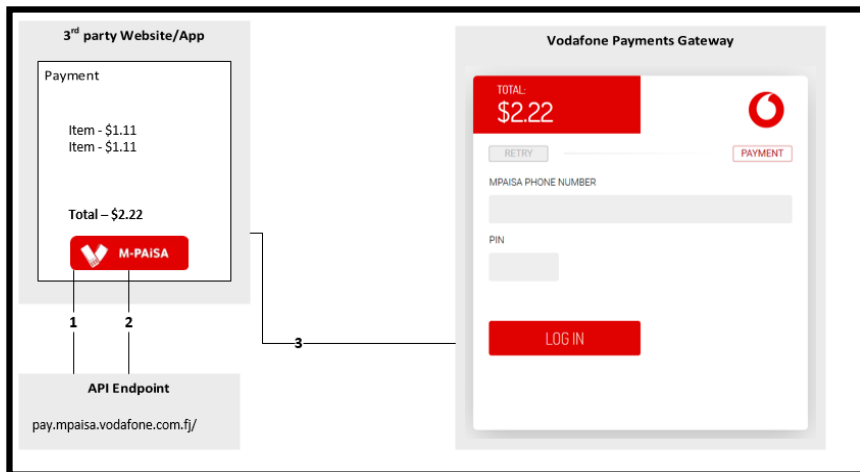
- (a) Any notices required to be given in this Agreement shall be in writing, and given by hand delivery to the other party at the address set out in the Key Terms.
- (b) A party may, at any time, substitute a new address for the one specified in the Key Terms by providing notice to the other parties.

Execution page follows

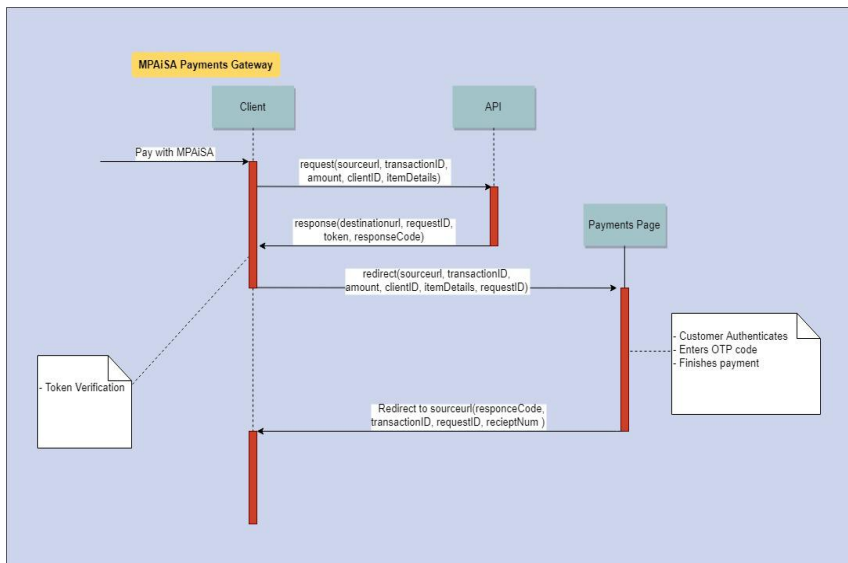
EXECUTED AND AGREED

Executed for and on behalf of DIGITAL FINANCIAL SERVICES PTE LIMITED by its duly authorised officers: Authorised Officer Authorised Officer Date:	Executed for and on behalf of MERCHANT TRANSXACT PTE LIMITED by its duly authorised officers: Authorised Officer Authorised Officer Date:
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SCHEDULE SYSTEM SPECIFICATIONS



The Setup



Transaction Limits

Existing M-PAiSA rules regarding transaction limits remain in effect. While there is no transaction limit for Customer-to-Business payments via M-PAiSA, account balance limits of \$5,000 or \$10,000 apply, depending on the level of Know Your Customer (KYC) information provided by M-PAiSA customers. These limits may be revised from time to time at the discretion of DFS or the relevant regulatory authority.

M-PAiSA Merchant Portal

The Merchant will have secure access to the M-PAiSA Merchant Portal, enabling real-time viewing of bill payment transactions. Users will be assigned different access levels based on their specific requirements. Additionally, the Merchant's customer service team will have access to assist Merchant Customers with payments made through M-PAiSA.

Commented [ES34]: Not sure what this is. Need to disclose long form

Commented [ES35R34]: Also, is the maximum account balance for Merchant's \$10,000? Do we then need to initiate DFS to our bank transfers when this is reached?

Commented [PM36R34]: There is no limit set for the Merchant business account.